

Test Yourself

Microeconomics

Income Inequality

Section A

Duration of each question is **40 mins**

1. Explain the possible economic reasons for inequality of income and consider whether inequality of income can benefit an economy. (8) **q3a/22/F/M/23**
2. Explain how the Gini coefficient is used to measure income inequality and consider the relative strength of two economic reasons suggested for such inequality in a low-income country. (8) **q2a/22/M/J/24**
3. Assess the extent to which government policies to redistribute income and wealth are likely to be successful. (12) **q2b/22/M/J/24**
4. Explain two economic reasons for inequality in the distribution of income and wealth and consider why inequality in the distribution of wealth cannot easily be measured. (8) **q3a/23/O/N/24**
5. Assess which policies are likely to be most effective in redistributing income. (12) **q3b/23/O/N/24**

Section B

Duration 40 mins

1. Inequality in an economy can be categorised as either income inequality or wealth inequality.

What is most likely to cause greater wealth inequality than income inequality?

- A an increase in indirect taxation
- B an increase in the value of property
- C a reduction in the minimum wage
- D a reduction in the rate of interest paid on savings

2. A government has a policy aim of reducing income inequality. It considers three policies.

Which combination of policies would be most effective?

	an increase in the marginal rate of tax from 40% to 50%	an increase in the minimum wage	a subsidy on battery-powered cars which cost over \$40 000
A	yes	no	no
B	yes	yes	no
C	yes	no	yes
D	no	yes	no

3. What is necessary for an action to be classed as a transfer payment?

- A It must include a cash payment.
- B It must involve a banking transaction.
- C It must originate from government activity.
- D It must relate to a non-productive activity.

4. What is a likely **disadvantage** of a government's provision of transfer payments to the unemployed?

A decrease in the standard of living
B disincentive to accept paid work
C increase in inequality
D increase in poverty

5. Which combination of policies would increase the inequality of the distribution of income and wealth?

	progressive taxes	minimum wage	transfer payments
A	decrease	increase	reduce
B	decrease	reduce	reduce
C	increase	increase	increase
D	increase	reduce	increase

6. What is an example of a transfer payment?

A government spending on hospitals
B government spending on motorways
C minimum wage
D welfare benefits

7. What is definitely **not** involved when a transfer payment is made?

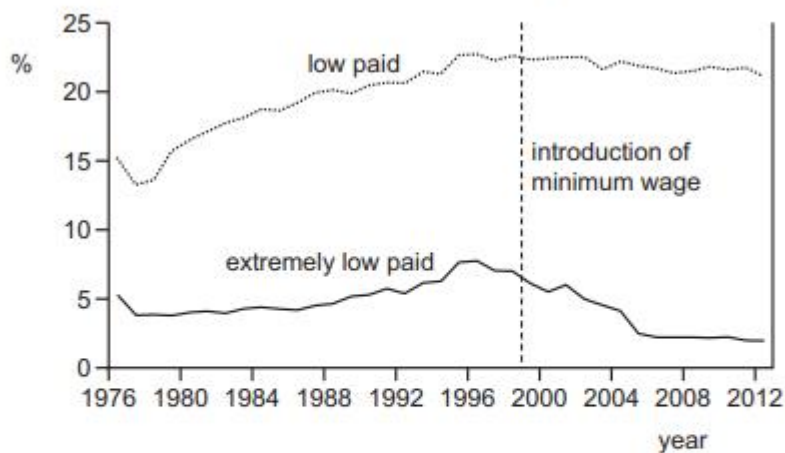
A bank deposits
B cash
C government
D production

8. The table shows four categories of government expenditure over two time periods.

category	period 1 (\$000)	period 2 (\$000)
building of new roads	200	350
welfare benefits	600	450
pay of armed forces	500	550
state pensions	1100	1350

By how much had transfer payments changed between periods 1 and 2?

- A** 0 **B** +100 **C** +150 **D** +300
9. The diagram shows the percentages of those on low pay and those on extremely low pay in a country from 1976 to 2012. A national minimum wage was introduced in 1999.



Which conclusion is consistent with the diagram?

- A** The minimum wage helped the low paid more than the extremely low paid.
B The minimum wage reduced the numbers of both low paid and extremely low paid.
C The minimum wage reversed the trend in low pay of the previous 20 years.
D The minimum wage was responsible for the largest reduction of low pay in the period.

10. A government announces its intention to reduce the level of transfer payments in the economy.
Which statement made by the government is consistent with this intention?
- A There need to be more incentives for unemployed workers to seek jobs.
 - B State pensions need to be increased.
 - C The level of income tax needs to be raised.
 - D The level of government expenditure needs to be increased.
11. In 2009, the Australian Government made a payment of \$900 to those who earned less than \$100 000 per year.
How would this payment best be described?
- A neutral
 - B progressive
 - C proportional
 - D regressive
12. A government decides to build additional public sector housing to be rented to people receiving low incomes.
What is most likely to fall as a result of this increase in public sector housing?
- A employment in the construction industry
 - B land prices in towns and cities
 - C rents of houses in the private sector
 - D total government spending

13. Government spending for a year includes these items.

	\$m
pensions for elderly people	200
welfare payments to sick people	200
spending on hospitals	150
payment to unemployed workers	100
defence spending	100
teachers' salaries	50

What is the total of transfer payments by this government in \$m?

- A 50
- B 500
- C 750
- D 800

14. A government imposes an income tax on individuals. The first \$100 000 of earned income is taxed at a rate of 20%, and all further earned income above \$100 000 is taxed at a marginal rate of 50%.

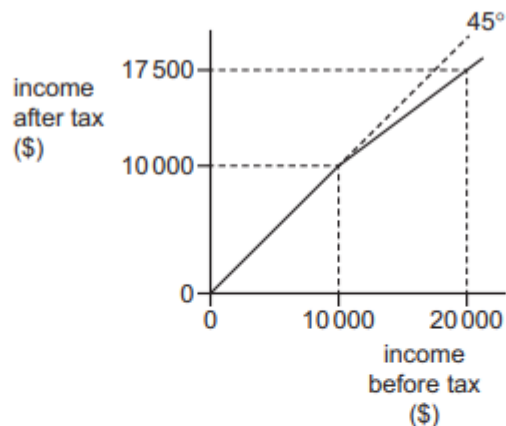
Which statement is **not** valid?

- A The average income tax rate is 20% at an income of \$80 000 and 35% at an income of \$200 000.
- B The tax is a direct tax for incomes above \$100 000.
- C The tax is a proportional tax for incomes between \$20 000 and \$40 000.
- D The tax is regressive when incomes change from below to above \$100 000.

15. Which tax is levied on a stock of wealth rather than a flow of income?

- A company profits tax
- B goods and services (expenditure) tax
- C individual direct tax
- D personal asset tax

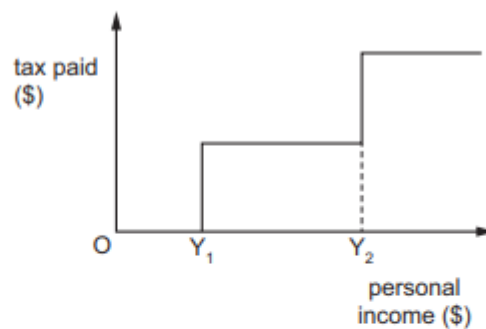
16. The graph shows an individual's income before and after the deduction of income tax.



What is the marginal percentage rate of tax between \$0 and \$10 000, and between \$10 000 and \$20 000?

	\$0–\$10 000	\$10 000–\$20 000
A	0%	12.5%
B	0%	25.0%
C	1%	12.5%
D	1%	25.0%

17. Which of the following is a transfer payment?
- A the advertising expenditure of a firm
 - B the allowance given by a parent to their child while at school
 - C the rent paid to a land owner by a tenant farmer
 - D the wage paid to a worker in the government service
18. Governments are trying to reduce the burden of transfer payments in economies with an ageing population.
- Which policy would help to achieve this aim?
- A introducing financial support for university students
 - B linking pension increases to the consumer price index during inflation
 - C raising the retirement age
 - D reducing state pensions to finance an equal rise in unemployment benefit
19. The diagram shows the income tax system adopted by a country.



What are the average and marginal rates of tax as incomes rise from Y_1 towards Y_2 ?

	average rate of tax	marginal rate of tax
A	constant	constant
B	constant	decreasing
C	decreasing	constant
D	decreasing	decreasing

20. Which statement is **not** correct?

- A A progressive tax usually improves the distribution of income.
- B A regressive tax benefits the rich more than the poor.
- C An ad valorem tax causes a parallel shift left of the supply curve.
- D Some consumers can avoid paying indirect tax.

Question	Answer	Marks
1	Explain the possible economic reasons for inequality of income and consider whether inequality of income can benefit an economy. Follow the point-based marking guidance at the top of this mark scheme and award: up to 3 marks for AO1 Knowledge and understanding up to 3 marks for AO2 Analysis up to 2 marks for AO3 Evaluation. AO1 Knowledge and understanding (max 3 marks) A clear knowledge and understanding of at least two possible economic reasons for inequality of income, such as whether a person is in employment or unemployed (1), the skills, qualifications and experience of different workers in various occupations and economic sectors (1), whether workers are employed in the public sector or the private sector (1), whether they are employed full-time or part-time (1), the provision of transfer payments (1) and the level and type of taxation. (1) N.B. the question does not stipulate how many reasons should be referred to so two reasons well explained can gain up to 3 marks. 1 reason explained can achieve a maximum of 1 mark. Max 3 marks AO2 Analysis (max 3 marks) The focus of this analysis must be on whether income inequality generates benefits to an economy or not. Points may include: • Incentivising workers leading to higher levels of productivity • Encourages enterprise • Encourages workers to retrain/reskill • Demotivates those on the lowest incomes and an increase in crime • Increased government spending on transfer payments leading to an opportunity cost Max 3 marks AO3 Evaluation (max 2 marks) Offers a valid judgement on the extent to which inequality of income can benefit an economy (1) to reach a conclusion. (1)	8
	AO1 Knowledge and understanding	3
	AO2 Analysis	3
	AO3 Evaluation	2

Question	Answer	Marks
2	Explain how the Gini coefficient is used to measure income inequality <u>and</u> consider the relative strength of <u>two</u> economic reasons suggested for such inequality in a low-income country. Follow the point-based marking guidance at the top of this mark scheme and award: up to 3 marks for AO1 Knowledge and understanding up to 3 marks for AO2 Analysis up to 2 marks for AO3 Evaluation. AO1 Knowledge and Understanding (max 3 marks) For a clear understanding of what the Gini coefficient is e.g., it is a numerical measure of the extent of income inequality in an economy (1) if there is no inequality the value will be zero and at the other extreme, if all income is earned by one person the value will be one (1) For an explanation that the nearer the value is to zero income is more equally distributed and/or the nearer the value is to one the more it is unequally distributed (1). AO2 Analysis (max 3 marks) Reasons may include: • A lack of employment opportunities e.g., which will mean that income levels are low (1) which may be more of a problem in low-income countries because industry may be less well developed (1). • Poor vocational training e.g., leading to fewer people being able to develop their skills and earn a higher income (1). This may be more of a problem in such countries because of the lack of finance to provide such training. (1) • A lack of investment in education and health e.g., meaning that some people may not receive a better level of education or may suffer long term health issues which will lower their potential income levels. (1) This may be more common in such countries due to a lack of government budget (1) • Other reasons include: • Poor infrastructure • Lack of access to loan finance Analysis must focus on the strength of two of these reasons in a low-income country. Maximum of 2 marks if only one reason considered. One mark per reason explained (+1) if clearly related to a low-income country. Accept any valid reason provided it is explained in terms of economics. Maximum of 2 marks if only one reason is considered. AO3 Evaluation (max 2 marks) Up to 2 marks for evaluating the relative strength of the two reasons with 1 mark reserved for a balanced judgement as to which may be the most likely reason in a low-income economy.	8

Question	Answer	Marks
2	Please use a text box to show the mark split e.g., 2,2,1	
	AO1 Knowledge and understanding	3
	AO2 Analysis	3
	AO3 Evaluation	2

Question	Answer	Marks
3	Assess the extent to which government policies to redistribute income and wealth are likely to be successful. Use Table A: AO1 Knowledge and understanding and AO2 Analysis and Table B: AO3 Evaluation to mark candidate responses to this question. AO1 and AO2 out of 8 marks. AO3 out of 4 marks. Indicative content Responses may include: AO1 Knowledge and understanding and AO2 Analysis Policies may include: • Minimum wage rates • Transfer payments • Progressive income taxes • State provision of essential goods and services • Investment in infrastructure Accept any valid policies but the analysis must focus on how they may be used to redistribute income and wealth and their advantages and disadvantages to be credited. E.g., A minimum wage rate that is set above the equilibrium, should increase the income levels of those on the lowest levels and therefore possibly ensure that poverty is reduced. However, if everyone's income levels increased, this will not have a redistribution effect. It will not impact on the self-employed. It may lead to unemployment and more poverty leading to less redistribution if businesses cannot afford the higher rates. E.g., Progressive income taxes should ensure that those on lower incomes pay less tax as a percentage of income than those on higher incomes. This should have a redistributive effect. However, those on higher incomes may have the ability to reduce their tax burden or may simply leave the country. It may also reduce incentives to earn more. Note: if only one policy is considered, the maximum level will be Level 2. Level 1 responses will be assertive and lacking in explanations / mainly descriptive and/or or mainly lacking in relevance to the question. Level 2 responses may contain some inaccuracies and will be one sided. Analysis will be explained at least in part and will be largely relevant to the question. Level 3 responses will consider alternative policies / concepts etc. and will be balanced. Explanations of points raised will be offered and will be accurate and relevant to the question.	12

Question	Answer	Marks
3	AO3 Evaluation - Requires an assessment of the likely success of more than one government policy leading to - A justified conclusion as to whether such policies are ever likely to be successful. A one-sided response cannot gain any marks for evaluation. Please use a text box to show the mark split e.g., L2 5 L1 2	
	AO1 Knowledge and understanding and AO2 Analysis	8
	AO3 Evaluation	4

Question	Answer	Marks
4	Explain <u>two</u> economic reasons for inequality in the distribution of income <u>and</u> wealth and consider why inequality in the distribution of wealth cannot easily be measured. Follow the point-based marking guidance at the top of this mark scheme and award: up to 3 marks for AO1 Knowledge and understanding, up to 3 marks for AO2 Analysis, AND up to 2 marks for AO3 Evaluation. AO1 Knowledge and understanding (max 3 marks) • An explanation of how inequality of income and wealth means an uneven distribution of income and wealth among a population (1). • An explanation of two reasons for income and wealth inequality. – For example: Poor education and training results in the individual gaining fewer/less marketable skills that prevents them from applying for jobs with higher salaries (1). – Low rates of saving which makes it increasingly difficult to buy property. Wealth inequality widens as rising property prices not only make it more difficult to purchase a property, but benefits those who are already property owners (1). AO2 Analysis (max 3 marks) Points to consider may include (other difficulties may be considered): • Wealth is comprised from many sources housing assets, savings, financial instruments, pensions, and different countries have different ways of measuring it (1). • Some wealth may not be included in any calculation should wealthy individuals legally use tax havens to reduce the value of their wealth (1). • Ownership of wealth may be transferred to family members to reduce the value of personal wealth value (1). AO3 Evaluation (max 2 marks) • For a balanced evaluation of whether wealth inequality cannot always easily be measured (1), leading to a justified conclusion (1).	8
	AO1 Knowledge and understanding	3
	AO2 Analysis	3
	AO3 Evaluation	2

Question	Answer	Marks
5	Assess which policies are likely to be most effective in redistributing income. Use Table A: AO1 Knowledge and understanding and AO2 Analysis and Table B: AO3 Evaluation to mark candidate responses to this question. AO1 and AO2 out of 8 marks. AO3 out of 4 marks. Indicative content Responses may include: AO1 Knowledge and understanding and AO2 Analysis Policies may include: • Use of policies to redistribute income. For example, the introduction of a minimum wage (or increase an existing minimum wage) will increase the wage of the lowest earners and reduce the difference between the highest and lowest earners. • Problems of minimum wages include the possibility of increasing cost-push inflation, higher rates of unemployment and that in some countries only a small proportion of the population are in receipt of the minimum wage. • Alternative policies that may be considered include progressive tax systems – by increasing the number of tax brackets or increasing the higher tax rates will reduce the post-tax income of higher earners and reduce the difference between the highest and lowest earners. • Problems of the alternative policy – for example, increased incentives for individuals to seek ways to legally avoid the higher tax rates. Increased administrative costs associated with implementing new systems for income assessment and tax collection. Level 1 responses will be assertive and lacking in explanations / mainly descriptive and/or or mainly lacking in relevance to the question. Level 2 responses may contain some inaccuracies and may be one sided. Analysis will be explained at least in part and will be largely relevant to the question. Level 3 responses will consider alternative policies / concepts etc. and will be balanced. Explanations of points raised will be offered and will be accurate and relevant to the question. AO3 Evaluation • Requires an assessment of at least two policies to be compared against each other which leads to • A justified conclusion as to which policy (or combination) is most likely to be most effective in redistributing income. Accept all valid responses. Note: A one-sided response cannot gain any marks for evaluation.	12

SECTION B

1.	B	11.	B
2.	B	12.	C
3.	D	13.	B
4.	B	14.	D
5.	B	15.	D
6.	D	16.	B
7.	D	17.	B
8.	B	18.	C
9.	C	19.	C
10.	A	20.	C